



## Latin America Equity Research: Argentina

### Financials – Banks

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# Grupo Financiero Galicia S.A.

BYMA: **GGAL** NASDAQ: **GGAL** (1 ADR = 10 Class B shares) Currency: **ARS**

## What ROE is the market pricing in?

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### ROE versus cost of equity drives bank value

A bank creates value only when its sustainable return on equity (ROE) exceeds the return shareholders require (Ke). If  $ROE > Ke$  the bank is worth more than its book value ( $P/BV > 1,0x$ ); if  $ROE = Ke$  it is worth exactly book ( $1,0x$ ); if  $ROE < Ke$  it trades below book.

$$\text{Justified P/BV} = (ROE - g) / (Ke - g)$$

$$\text{Implied ROE} = g + P/BV \times (Ke - g)$$

Reading the second formula backwards turns the market price into an expectation: given Ke and g, it tells us which long-term ROE investors are paying for.

### Cost of equity: 12,2% real in USD

| Component                                           | Value        | Source                              |
|-----------------------------------------------------|--------------|-------------------------------------|
| Risk-free rate (UST 10Y)                            | 5,22%        | US Treasury, 8-Oct-26               |
| Beta × equity risk premium ( $0,95 \times 4,23\%$ ) | 4,02%        | GGAL 5Y adj. beta; Damodaran Jan-26 |
| Country risk premium                                | 5,62%        | EMBI Argentina, 365-day avg         |
| <b>Ke, nominal USD</b>                              | <b>14,9%</b> |                                     |
| US expected inflation                               | 2,35%        | UST breakeven                       |
| <b>Ke, real USD</b>                                 | <b>12,2%</b> | <b>(1,149 / 1,0235) – 1</b>         |

### ROE: history versus what the market pays for

| Real ROE (IAS 29 statements)            | ROE          | Justified P/BV |
|-----------------------------------------|--------------|----------------|
| Median 2021–2025                        | 9,2%         | 0,68x          |
| Market-implied (at 1,04x)               | 12,6%        | 1,04x          |
| <b>Normalized 2021–2024 — base case</b> | <b>13,2%</b> | <b>1,11x</b>   |
| Upside scenario                         | 14,0%        | 1,19x          |

2025 excluded from the normalized ROE: non-performing loans peaked at 8,1% vs 2,6% (Annex B, p.104) and HSBC Argentina integration costs were booked (p.125). 2024 includes a ARS 378.183m restructuring provision (note 29, p.49). Ke 12,2% and g 2,95% real in all rows.

| Ke (real)    | Implied ROE  |
|--------------|--------------|
| 10,0%        | 10,3%        |
| <b>12,2%</b> | <b>12,6%</b> |
| 14,0%        | 14,4%        |

The implied ROE depends on the analyst's Ke: a lower Ke lowers the ROE the market needs to justify today's price.

### Conclusion

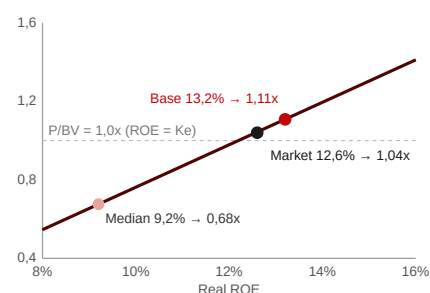
At 1,04x book the market prices in a recovery of GGAL's real ROE to about 12,6% — close to its normalized 2021–24 level of 13,2%, and no more. With our base case of 13,2% the justified P/BV is 1,11x, 6,6% above the current multiple. Upside requires conviction that GGAL can sustain a real ROE above ~13%; below 12,6% the stock is overvalued.

### Technical Note

#### ROE vs Ke

|                                  |                |
|----------------------------------|----------------|
| Price BYMA, 8-Oct-26 (ARS)       | <b>5.950,0</b> |
| ADR NASDAQ, 7-Oct-26 (USD)       | <b>37,05</b>   |
| Implied CCL (ARS/USD)            | 1.611,3        |
| Market P/BV (x)                  | <b>1,04</b>    |
| Equity attrib., Jun-26 (ARS bn)* | 9.197,6        |
| Shares outstanding (m)           | 1.606,3        |
| Book value / share, Jun-26 (ARS) | <b>5.726,1</b> |

#### Justified P/BV vs ROE



#### Model inputs (real, USD)

|                            |              |
|----------------------------|--------------|
| Ke                         | 12,2%        |
| Long-term growth (g)       | 2,95%        |
| Base-case ROE (normalized) | <b>13,2%</b> |
| Justified P/BV (x)         | <b>1,11</b>  |
| Market-implied ROE         | <b>12,6%</b> |

#### Context, Jun-26

|                            |        |
|----------------------------|--------|
| CET1 ratio (Banco Galicia) | 23,75% |
| ROE, last 12 months        | 1,3%   |
| ROE, 1H26 annualized       | 7,2%   |

\* Equity attributable to owners of the parent at 30-Jun-26, consolidated statements p.5; shares: 281,2m Class A + 1.325,0m Class B, no treasury shares (note 20.1, p.40). Equity is in June-26 pesos and the price in October-26 pesos, which slightly overstates P/BV.

Sources: GGAL consolidated financial statements (CNV / company), Pillar 3 disclosures, US Treasury, BCRA, Damodaran, Yahoo Finance; MCB Advisor estimates.

*"In God we trust, all others must bring data."*

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